Micron Technology, Inc.

MU NASDAQ

Hold	$681.78 ▼ 14.27%	12M Price Target	52-Week Range	Market Cap
		$820.00	$192.59 – $1255.00	$771.38B

MU: Chip Sector Rout Hits Hard, But AI Memory Story Intact

WHAT HAPPENED

- MU got absolutely hammered — down 14% on 60M shares (2x normal volume) as part of a broader chip sector wipeout. Nasdaq down 5%, Dow down 1,500 points. This isn't about Micron specifically — it's a valuation reset across the whole AI/semi complex after a monster run. Stock was at $884 just a week ago, so people are locking in profits.
- Options flow is wild — massive put buying at $700 strike (12.8x open interest) tells you institutions were scrambling to hedge. But equally huge call buying at $680 and $700 strikes suggests other smart money is betting this is the bottom. That's a tug-of-war setup.

WHY IT MATTERS

Today's crash is a sentiment flush, not a fundamental break — the AI memory thesis (HBM chips for Nvidia/AMD accelerators) hasn't changed overnight. What HAS changed is that the market finally noticed MU was trading at nosebleed multiples after running from ~$190 to $1,255 in a year. When a stock goes parabolic, any excuse triggers profit-taking, and today's excuse was the broader "chip valuations are unbelievable" narrative. The key inference: if MU holds $650-680 and bounces, this was a healthy correction; if it breaks $600, we're in a real de-rating and the whole AI capex cycle gets questioned. Watch hyperscaler capex guidance from MSFT/META/GOOGL next earnings — that's the real tell.

POLICY & POLITICAL WATCH

Micron is one of the biggest winners of the CHIPS Act — they've been awarded ~$6.1B in federal grants for their New York and Idaho fabs, which is essentially free money the government won't claw back. The Trump administration's tariff posture on China semis is a net positive for MU since it pressures Chinese memory competitors (CXMT, YMTC) and keeps Micron's pricing power intact. Watch for any export control updates on HBM to China — that's a double-edged sword: tightening helps competitively but could cost MU direct China revenue (which is still ~10-15% of sales).

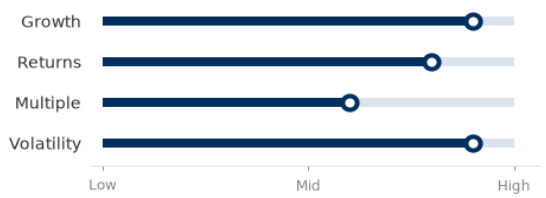
IS IT EXPENSIVE?

Even after today's crush, MU trades around 48x forward earnings — meaning you're paying $48 for every $1 of profit expected next year. That's rich for a historically cyclical memory business that used to trade at 8-12x. The bull case justifies it because HBM memory for AI is structurally different (long-term contracts, supply-constrained) — but the bear case is "this is still a commodity business wearing an AI costume." Today's drop makes it less insane, not cheap.

WHAT COULD GO WRONG

Key Data	
Price (USD)	**$681.78**
12M Price Target	**$820.00**
Upside / (Downside)	**+20.3%**
Market Cap	**$771.38B**
FY2026E Revenue	**$58,500M**
FY2027E Revenue	**$72,000M**
FY2026E EPS	**$14.20**
FY2027E EPS	**$19.50**
Fwd P/E	**48.0x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

MU — Micron Technology, Inc. | November 05, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$780.00**	$700.00	**$580.00**
6 Months	**$950.00**	$820.00	**$600.00**
1 Year	**$1200.00**	$900.00	**$550.00**
2 Years	**$1500.00**	$1100.00	**$600.00**
5 Years	**$2200.00**	$1500.00	**$700.00**
10 Years	**$3500.00**	$2000.00	**$800.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Staples and Communication Services held up today — classic defensive rotation when risk assets puke. Money is hiding, not leaving the market.

COOLING OFF: Semis and AI infrastructure got crushed. Energy also weak (-8.7% over 5 days) as oil softens on demand concerns.

ROTATION WATCH: This looks like a textbook "de-grossing" day where hedge funds cut leverage across the board — AI winners that went up the most come down the hardest. Watch if money rotates back into megacap tech tomorrow or keeps bleeding to defensives.

RELATED PLAY: If memory holds up, the equipment makers (AMAT, LRCX, KLAC) are leveraged plays on Micron's capex — they got hit even harder today and have the same CHIPS Act tailwind.

WHO'S WINNING IN THIS SPACE?

- COST (Costco) / WMT (Walmart): Defensive staples benefited from the risk-off rotation — boring is beautiful on red days
- VZ (Verizon) / T (AT&T): Telecoms as dividend hideouts when growth names get sold

MU CONTEXT: MU is lagging the broader market badly today (-14% vs -5% Nasdaq) because it had the most to give back after its monster run. That's not a negative signal about the business — it's a mechanical consequence of being the sector's top performer. The real question is whether it bounces harder than peers in the next relief rally; if yes, the AI memory story is still intact.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — The long-term AI memory story is real and policy-supported, but I'm not catching this falling knife without seeing it stabilize first.

POSITION SIZE: 2-4% of portfolio — the volatility (9/10) means you can't size this like a utility; small enough to sleep at night, big enough to matter if it works.

ENTRY POINTS: Start nibbling at $650, add aggressively at $580-600 if we get there. Don't chase a bounce — let it come to you.

TIME HORIZON: 12-24 months — the HBM demand cycle has at least two more years of visibility based on hyperscaler capex plans.

WHEN TO BAIL: If MU loses an HBM qualification at Nvidia, or if a hyperscaler cuts AI capex guidance by >15%, that's the exit. Also bail if the stock breaks $550 with heavy volume — that'd signal the whole thesis is unraveling.

HEDGING: Simplest hedge is just owning less. If you want protection, buy puts on the SMH semiconductor ETF — cheaper than MU-specific puts and hedges the whole sector risk.

This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.